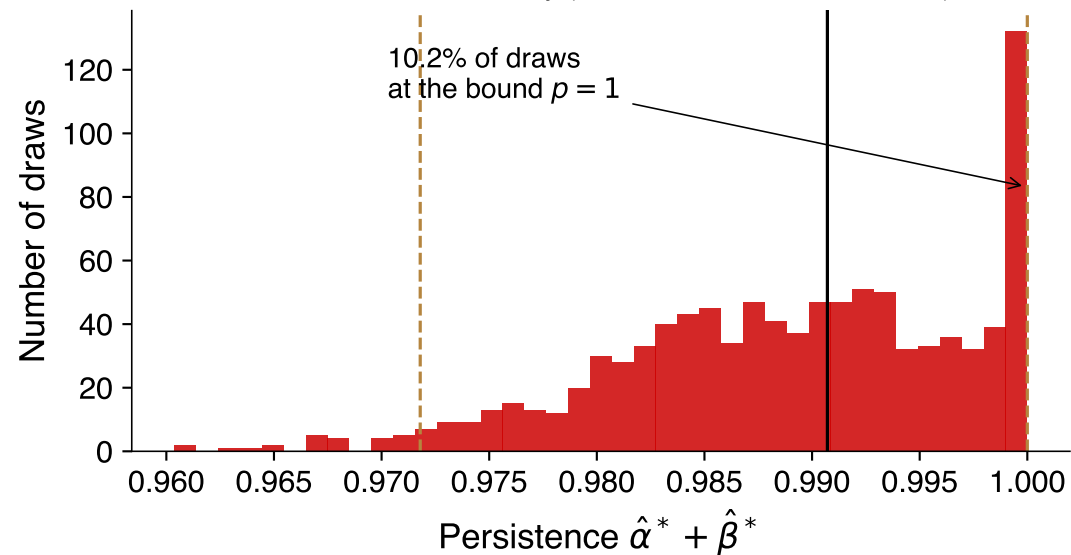
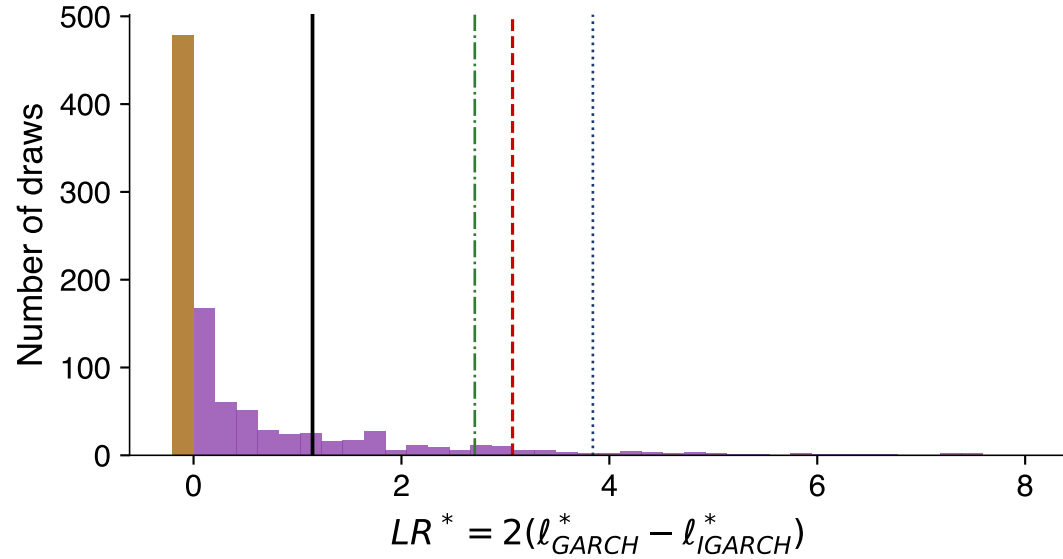


BET: estimator variability (simulate from the fitted model)



- $\hat{p}^*$ re-estimated on 999 paths simulated from the fitted GARCH-t
- Estimate on the data, $\hat{p} = 0.9907$
- - - 2.5% and 97.5% percentiles: [0.9718; 1.0000]
- $LR^* > 0$ on 999 paths simulated under H_0 (IGARCH-t)
- Observed $LR = 1.14$

BET: null distribution of the LR statistic



- - - Bootstrap 95% cutoff = 3.07
- ⋯ χ_1^2 cutoff = 3.84
- · - Mixture $\frac{1}{2}\chi_0^2 + \frac{1}{2}\chi_1^2$ cutoff = 2.71
- $LR^* = 0$: 47.8% of the draws (estimate at the bound)